

Managing Costs and Finance (MA2)

Syllabus and study guide.

September 2026 to June 2027

Designed to help with planning study and to provide detailed information on what could be assessed in any examination session

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1. Overall aim of the syllabus

To develop knowledge and understanding of how to prepare, process and present basic cost information to support management in planning and decision making in a variety of business contexts.

2. Introduction to the syllabus

The syllabus for MA2, *Managing costs and finance*, introduces candidates to costing and financing principles and techniques, and elements of management accounting which are used to make and support decisions.

The syllabus starts by introducing candidates to management information clearly distinguishing it from financial accounting information. The next section introduces the basics of recording costs in management accounting. This is followed by coverage of a variety of costing techniques used in business.

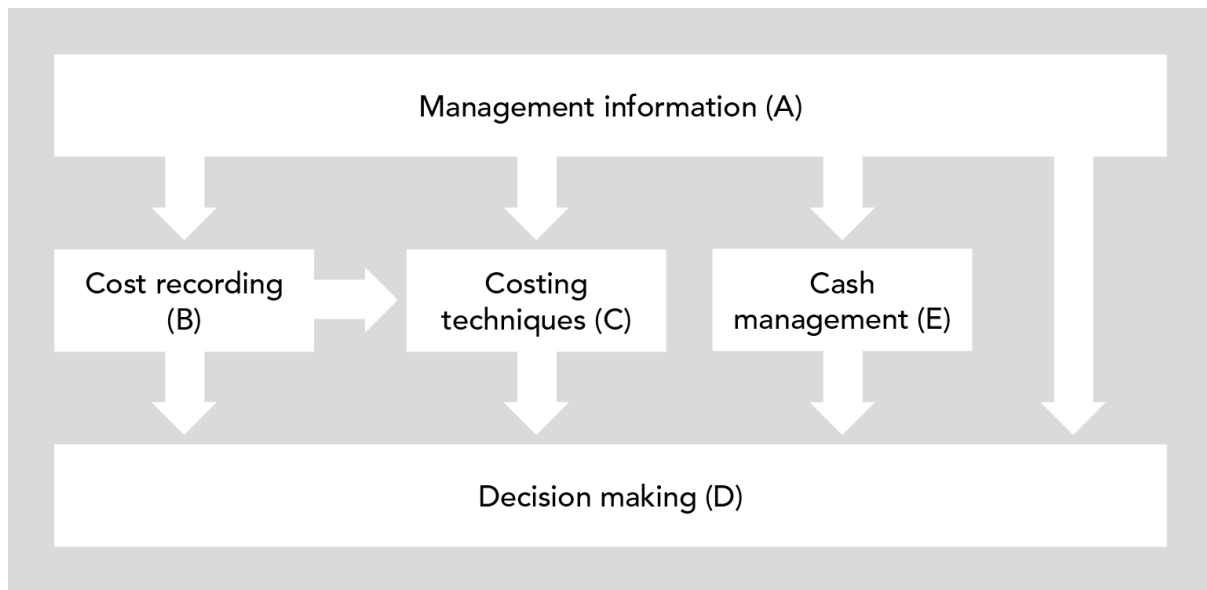
The next area of the syllabus introduces candidates to the use of management accounting in support of decision making. Finally, the syllabus introduces the concept of cash management as an essential element for planning.

3. Main capabilities

On successful completion of this examination, candidates should be able to:

- A Explain the role of costing within the organisation and how costs are classified
- B Describe and record costs by classification
- C Explain and apply cost accounting techniques
- D Use management accounting techniques to make and support decision making.
- E Explain the principles of cash management

Relational diagram of main capabilities:



4. Intellectual levels

ACCA qualifications are designed to progressively broaden and deepen the knowledge and skills demonstrated by the student at a range of levels on their way through each qualification.

Throughout, the study guides assess both knowledge and skills. Therefore, a clear distinction is drawn, within each subject area, between assessing knowledge and skills and in assessing their application within an accounting or business context. The assessment of knowledge is denoted by a superscript ^k and the assessment of skills is denoted by the superscript ^s.

5. The syllabus

A Management information

1. Management information requirements
2. Cost accounting systems
3. Cost classification
4. Information for comparison
5. Reporting management information

B Cost recording

1. Accounting for materials
2. Accounting for labour
3. Accounting for other expenses

C Costing techniques

1. Absorption costing
2. Marginal costing
3. Job and batch costing
4. Process costing
5. Service costing

D Decision making

1. Cost-volume-profit analysis
2. Factors affecting short-term decision making
3. Investment appraisal

E Cash management

1. Nature of cash and cash flow
2. Cash management
3. Cash budgets
4. Investing and financing

6. Detailed study guide

A Management information

1. Management information requirements

- a) Describe the purpose of management information: planning, control and decision making.^[K]
- b) Describe the features of useful management Information.^[K]
- c) Describe the nature, source and importance of both financial and non-financial information for managers.^[K]
- d) Describe management responsibilities for cost, profit and investment and their effect on management information and performance measurement.^[K]
- e) Explain the role of the trainee accountant.^[K]

2. Cost accounting systems

- a) Describe the process of accounting for input costs and relating them to work done.^[K]
- b) Describe the systems and processes for different accounting transactions.^[S]
- c) Explain and illustrate the use of codes in categorising and processing transactions (including sequential, hierarchical, block, faceted and mnemonic coding methods).^[K]
- d) Explain and illustrate the concept of cost units.^[S]
- e) Describe the different methods of costing final outputs and their appropriateness to different types of business organisation.^[S]
- f) Identify the key features of a computerised accounting system.^[K]

3. Cost classification

- a) Describe the variety of cost classifications used for different purposes in a cost accounting system, including by responsibility, function, direct/indirect and behaviour.^[K]
- b) Explain and illustrate the nature of variable, fixed, stepped fixed and mixed (semi-variable) costs.^[S]
- c) Use the high-low method to separate semi-variable costs into their fixed and variable elements.^[S]
- d) Use variable, fixed and semi-variable costs in cost analysis.^[S]
- e) Analyse the effect of changing activity levels on unit costs.^[S]

4. Information for comparison

- a) Explain the purpose of making comparisons.^[K]
- b) Identify relevant bases for comparison: previous period data, corresponding period data, forecast/budget data.^[S]
- c) Explain the forecasting/budgeting process and the concept of feed-forward and feedback control.^[K]
- d) Explain and illustrate the concept of flexible budgets.^[S]
- e) Use appropriate income and expenditure data for comparison.^[S]
- f) Calculate variances between actual and historical/forecast data which may or may not be adjusted for volume change (note: standard costing is excluded).^[S]
- g) Identify whether variances are favourable or adverse.^[S]
- h) Identify possible causes of variances.^[S]

- i) Explain the concept of exception reporting.^[K]
- j) Explain factors affecting the decision whether to investigate variances.^[K]

5. Reporting management information.

- a) Describe methods of analysing, presenting and communicating information.^[K]
- b) Identify suitable formats for communicating management information according to purpose and organisational guidelines.^[S]
- c) Use data visualisation to present information using tables, charts and graphs (bar charts, line graphs, pie charts and scatter graphs).^[S]
- d) Identify the general principles of distributing reports (e.g. procedures, timing, recipients) including the reporting of confidential information.^[K]
- e) Interpret information (including tables, charts and graphs) presented in management reports.^[S]

B Cost recording

1. Accounting for materials

- a) Describe the main types of material classification.^[K]
- b) Describe the systems used to ensure the correct authorisation, coding, analysis and recording of direct and indirect material costs.^[K]
- c) Explain, illustrate and evaluate the FIFO, LIFO and periodic and cumulative weighted average methods used to price materials issued from inventory.^[S]
- d) Describe and illustrate the accounting for material costs.^[S]

- e) Calculate material input requirements, and control measures, where wastage occurs.^[S]
- f) Describe the procedures required to monitor inventory and to minimise discrepancies and losses.^[K]
- g) Explain and illustrate the costs of holding inventory and of being without inventory.^[S]
- h) Explain, illustrate and evaluate inventory control levels (minimum, maximum, re-order).^[S]
- i) Calculate EOQ and interpret optimal order quantities.^[S]
- j) Explain the relationship between the materials costing system and the inventory control system.^[K]

2. Accounting for labour

- a) Explain, illustrate and evaluate labour remuneration methods.^[S]
- b) Describe the operation of a payroll accounting system.^[K]
- c) Distinguish between direct and indirect labour costs.^[K]
- d) Describe the systems used to ensure the correct coding, analysis and recording of direct and indirect labour.^[K]
- e) Describe and illustrate the accounting for labour costs.^[S]
- f) Explain the relationship between the labour costing system and the payroll accounting system.^[K]
- g) Explain the causes and costs of, and calculate, labour turnover.^[S]
- h) Describe and illustrate measures of labour efficiency and utilisation

(efficiency, capacity utilisation, production volume and idle time ratios).^[S]

3. Accounting for other expenses

- a) Describe the nature of expenses by function.^[K]
- b) Describe the systems used to ensure the correct authorisation, coding, analysis and recording of direct and indirect expenses.^[K]
- c) Describe and calculate asset and expenses items and illustrate the relevant accounting treatment.^[K]
- d) Calculate and explain depreciation charges using straight-line, reducing balance, machine hour and product units methods.^[S]
- e) Explain the relationship between the expenses costing system and the expense accounting system.^[K]

C Costing techniques

1. Absorption costing

- a) Explain the rationale for absorption costing.^[K]
- b) Describe the nature of production and service cost centres and their significance for production overhead allocation, apportionment and absorption.^[K]
- c) Describe the process of allocating, apportioning and absorbing production overheads to establish product costs.^[K]
- d) Apportion overheads to cost centres using appropriate bases.^[S]
- e) Re-apportion service cost centre overheads to production cost centres using direct and step-down methods.^[S]

- f) Justify, calculate and apply production cost centre overhead absorption rates using labour hour and machine hour methods.^[S]

- g) Explain the relative merits of actual and pre-determined absorption rates.^[K]
- h) Describe and illustrate the accounting for production overhead costs, including the analysis and interpretation of over/under absorption.^[S]
- i) Describe and apply methods of attributing non-production overheads to cost units.^[S]
- j) Calculate product costs using the absorption costing method.^[S]

2. Marginal costing

- a) Explain and illustrate the concept of contribution.^[S]
- b) Prepare profit statements using the marginal costing method.^[S]
- c) Prepare profit statements using the absorption costing method.^[S]
- d) Compare and contrast the use of absorption and marginal costing for period profit reporting and inventory valuation.^[K]
- e) Reconcile the profits reported by absorption and marginal costing.^[S]
- f) Explain the usefulness of profit and contribution information respectively.^[K]

3. Job and batch costing

- a) Identify situations where the use of job or batch costing is appropriate.^[K]
- b) Calculate unit costs using job and batch costing.^[S]

- c) Describe the control of costs in job and batch costing.^[K]
- d) Apply cost plus pricing in job costing.^[S]

4. Process costing

- a) Identify situations where the use of process costing is appropriate.^[K]
- b) Distinguish between joint products and by-products.^[K]
- c) Explain the accounting treatment of joint products and by-products at the point of separation.^[K]
- d) Apportion joint process costs using net realisable values and weight/volume of output respectively.^[S]
- e) Evaluate the benefit of further processing.^[S]

5. Service costing

- a) Describe the characteristics of service costing.^[K]
- b) Describe the practical problems relating to the costing of services.^[K]
- c) Identify situations (cost centres and industries) where the use of service costing is appropriate.^[S]
- d) Illustrate suitable cost units that may be used for a variety of services.^[S]
- e) Calculate service unit costs in a variety of situations.^[S]

D Decision making

1. Cost-volume-profit analysis

- a) Calculate contribution per unit and the contribution/sales ratio.^[S]
- b) Explain the concept of break-even and margin of safety.^[K]

- c) Use contribution per unit and contribution/sales ratio to calculate break-even point and margin of safety.^[S]
- d) Analyse the effect on break-even point and margin of safety of changes in selling price and costs.^[S]
- e) Use contribution per unit and contribution/sales ratio to calculate the sales required to achieve a target profit.^[S]
- f) Interpret break-even and profit/volume charts for a single product or business.^[S]

2. Factors affecting short-term decision making

- a) Explain the importance of the limiting factor concept.^[K]
- b) Identify the limiting factor in given situations.^[S]
- c) Formulate and determine the optimal production solution when there is a single resource constraint.^[S]
- d) Solve make/buy-in problems when there is a single resource constraint.^[S]
- e) Explain the concept of relevant costs.^[K]
- f) Apply the concept of relevant costs in business decisions.^[S]

3. Investment appraisal

- a) Explain and illustrate the difference between simple and compound interest, and between nominal and effective interest rates.^[S]
- b) Explain and illustrate compounding and discounting.^[S]
- c) Explain the distinction between cash flow and profit and the relevance of cash flow to capital investment appraisal.^[K]

- d) Explain and illustrate the net present value (NPV) and internal rate of return (IRR) methods of discounted cash flow.^[S]
- e) Calculate present value using annuity and perpetuity formulae.^[S]
- f) Calculate payback (discounted and non-discounted).^[S]
- g) Interpret the results of NPV, IRR and payback calculations of investment viability.^[S]

E Cash management

1. Nature of cash and cash flow

- a) Define cash and cash flow.^[K]
- b) Outline the various sources of cash receipts and payments (including regular/exceptional asset/expenses receipts and payments, and drawings).^[K]
- c) Describe the relationship between cash flow accounting and accruals accounting.^[K]
- d) Distinguish between the cash flow pattern of different types of organisations.^[S]
- e) Explain the importance of cash flow management and its impact on liquidity and company survival (note: calculation of ratios is not required).^[K]

2. Cash management

- a) Outline the basic treasury functions.^[K]
- b) Describe the procedures for the receipt and payment of cash, including automated methods.^[K]
- c) Outline guidelines and legislation in relation to the management of cash balances in public sector organisations.^[K]

- d) Describe how trends in the economic and financial environment can affect management of cash balances.^[K]

3. Cash budgets

- a) Explain the objectives of cash budgeting.^[K]
- b) Explain and illustrate statistical techniques used in cash forecasting including moving averages and allowance for inflation.^[S]
- c) Prepare a cash budget/forecast.^[S]
- d) Explain and illustrate how a cash budget can be used as a mechanism for monitoring and control.^[S]

4. Investing and financing

- a) Explain how surplus cash and cash deficit may arise.^[K]
- b) Explain the following types of short-term investments and the associated risks/returns:^[K]
 - (i) bank deposits
 - (ii) money-market deposits
 - (iii) certificates of deposit
 - (iv) government stock
 - (v) local authority stock
- c) Explain different ways of raising finance from a bank and the basic terms and conditions associated with each type of financing.^[K]

7. Summary of changes to Managing Costs and Finance (MA2)

ACCA periodically reviews its qualification syllabuses so that they fully meet the needs of stakeholders such as employers, students, regulatory and advisory bodies and learning providers.

There have been no additions, deletions or amendments to the syllabus for September 2026 to June 2027.

8. Approach to examining the syllabus

The syllabus is assessed by a two-hour computer-based examination. Questions will assess all parts of the syllabus and will include both computational and non-computational elements. The examination will consist of 50 two-mark questions.

9. Relational diagram linking Managing Costs and Finance (MA2) with other exams

The Foundations in Accountancy suite of qualifications is designed so that a student can progress through three discrete levels; RQF Level 2, 3, and 4. However, entry is possible at any point. Students are recommended to enter Foundations in Accountancy at the level which is most appropriate to their needs and abilities and to take examinations in order, but this is not a requirement.



10. Guide to ACCA examination structure and delivery mode

The structure of examinations varies.

The Foundations in Accountancy (FIA) examinations contain 100% compulsory questions to encourage candidates to study across the breadth of each syllabus.

All FIA examinations are assessed by two-hour computer-based examinations.

The pass mark for all FIA examinations is 50%.

11. Guide to ACCA examination assessment

ACCA reserves the right to examine anything contained within the study guide at any examination session. This includes knowledge, techniques, principles, theories, and concepts as specified. For specified financial accounting, audit and tax examinations, except where indicated otherwise, ACCA will publish examinable documents once a year to indicate exactly what regulations and legislation could potentially be assessed within identified examination sessions.

For this examination, regulation issued or legislation passed on or before 31 August annually, will be assessed from 1 September of the following year to 31 August of the year after. Please refer to the examinable documents for the exam (where relevant) for further information.

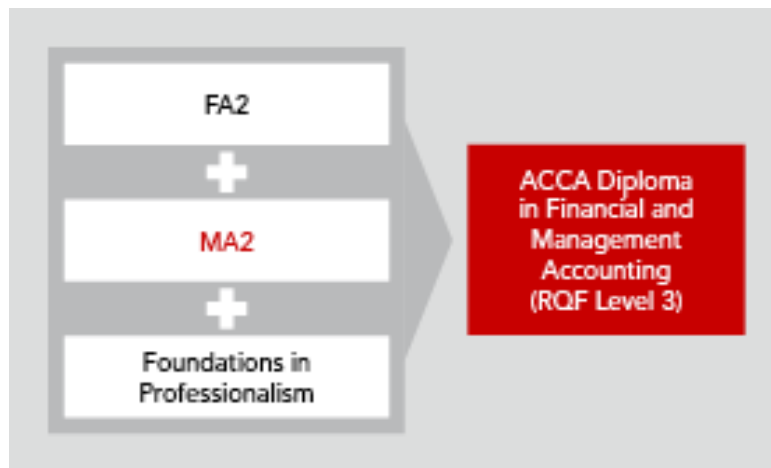
Regulation issued or legislation passed in accordance with the above dates may be examinable even if the effective date is in the future. The terms 'issued' or 'passed' relate to when regulation or legislation has been formally approved.

The term 'effective' relates to when regulation or legislation must be applied to entity transactions and business practices.

The study guide offers more detailed guidance on the depth and level at which the examinable documents will be examined. The study guide should therefore be read in conjunction with the examinable documents list.

12. Qualification structure

The qualification structure requires candidates who wish to be awarded the ACCA Diploma in Financial and Management Accounting (RQF Level 3) to pass both the FA2 and MA2 examinations and successfully complete the Foundations in Professionalism module.



13. Learning hours and education recognition

As a member of the International Federation of Accountants, ACCA seeks to enhance the education recognition of its qualification on both national and international education frameworks, and with educational authorities and partners globally. In doing so, ACCA aims to ensure that its qualifications are recognised and valued by governments and regulatory authorities and employers across all sectors. To this end, ACCA qualifications are currently recognised on the educational frameworks in several countries. Please refer to your national education framework regulator for further information about recognition.

ACCA provides free digital access to the [ACCA Study Hub](#) for all students globally via MyACCA, including full syllabus coverage, short quizzes, practice and revision questions and flashcards to help you prepare for your exam.

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